Company registration number 00054222 (England and Wales)

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 JULY 2024

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

COMPANY INFORMATION

Directors	A G Pace S Hunt M L Smith A D Parra D W Checketts
Secretary	M R Williams
Company number	00054222
Registered office	Turf Moor Harry Potts Way Burnley Lancashire United Kingdom BB10 4BX
Auditor	BDO LLP Eden Building Irwell Street Salford Manchester M3 5EN

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

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THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 31 JULY 2024

The directors present the strategic report for the year ended 31 July 2024.

Review of the business

On behalf of the board of directors, we are pleased to present the annual report and financial statements for the year ended 31 July 2024.

Turnover has increased from £64.9m to £133.6m due to the Club competing in the Premier League and the associated increase in broadcasting distributions and commercial sponsorships. The Club generated operating profit, excluding player trading, of £10.1m driven by the increase in turnover. In anticipation of lower turnover next season due to relegation, the club sold several player registrations generating a profit on disposal of £15.1m in this accounting period.

Despite the above, the Club recorded a loss for the financial year of £24.9m (2023: £27.0m), primarily driven by an increase in player amortisation of £20.5m to £42.6m (2023: £22.1m).

The company hired Scott Parker as its men's first team head coach in July 2024.

Principal risks and uncertainties

The Group faces a number of risks and uncertainties and has measures in place to mitigate the impact of these risks.

As is common with many professional football clubs, the principal risk to the Group is the possibility of the football club's relegation from the league in which it competes. The Group's primary source of revenue is TV Broadcasting monies, and relegation from the league in which the club competes would result in a reduction in the club's turnover and would bring forward debt reduction measures on external borrowings.

Liquidity risk and the management of working capital is the main financial risk faced by the club. The mitigation of this risk involves complex financial modelling and forecasts, which enable management to make decisions in a timely manner to ensure the club has sufficient working capital and complies with all financial covenants.

Another risk to the Group is the consequence of non-compliance with Premier League, FA and English Football League rules and regulations, in particular Financial Fair Play regulations. The Group takes all necessary steps to ensure compliance with relevant rules and regulations.

Key performance indicators

	2023/24	2022/23
League Position	19th	1st
FA Cup	Third Round	Quarter Finals
Carabao Cup	Fourth Round	Round of 16
Average home league gate	21,153	19,952
Wage : Turnover ratio	69.94%	88.68%

Promoting the success of the company

The directors of the Company are to act in accordance with a set of general duties. These duties are detailed in Section 172 of the Companies Act 2006, which is summarised as follows:

A director of a Company is to act in the way they consider, in good faith, would be most likely to promote the success of the Company for the benefit of shareholders as a whole and, in doing so have regard (amongst other matters) to:

- the likely consequences of any decision in the long term;
- the interests of the Company's employees;
- the need to foster the Company's business relationships with suppliers, customers and others;
- the impact of the Company's operations on the community and the environment;
- the desirability of the Company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between members of the Company.

Long term consequences

The Company has sought to ensure that it operates ethically, in a manner that helps foster strong relationships with its stakeholders.

The board of directors considers and takes steps where possible to mitigate and reduce the impact of adverse factors that may place unacceptable strain on relationships with Company stakeholders. The Company's adherence to UEFA and Financial Fair Play rules ensures sustainable, responsible and transparent management of the Company's finances.

Interest of employees

The health, safety and well-being of our employees is one of the main considerations. The club actively promotes equality and diversity, to ensure employees are not discriminated against on the grounds of age, disability, ethnic origin, nationality, religion, race, gender or any other circumstances.

As part of our commitment to engaging with our workforce, the company regularly holds strategy days where senior leaders provide insights into the company's future direction and strategic priorities. These sessions are designed to ensure that employees at all levels are informed about the company's long term goals, and to encourage feedback and dialogue. By fostering transparency and open communication, we aim to align our employees' interests with the company's strategy.

Interest of other stakeholders (fans, suppliers, others)

Fans are the lifeblood of our football club and, as such, are always at the foremost when any major decisions are made. Key decision makers at the football club have regular meetings with the supporter groups and we are proud to have a growing number of overseas supporter groups.

As part of our ongoing commitment to improving facilities, the football club has invested in a new playing surface at Turf Moor. In selecting suppliers for this project, we have focused on supporting regional businesses and fostering relationships with trusted suppliers. This decision aligns with our broader strategy to support sustainable development and create positive long-term value for both the club and suppliers.

We value our suppliers and have worked to cultivate longstanding relationships with many key suppliers.

Impact on the community

The independent charitable body, Burnley FC in the Community, works with the Company to inspire support and deliver positive change for those living in our local community and beyond.

Among other things, the Charity has worked in partnership with the Club and partners across the area to deliver food parcels to those most in need via the Burnley Community Kitchen and Burnley Together.

Code of Conduct, Business Ethics and Acting Fairly

We have adopted a Code of Conduct and business ethics that applies to all of our employees, officers and directors. Our Code of Conduct addresses competition and fair dealing, conflicts of interest, financial matters and external reporting, company funds and assets, confidentiality and the process for reporting violations of the Code of Conduct.

On behalf of the board

A G Pace
Director

31 December 2024

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 31 JULY 2024

The directors present their annual report and financial statements for the year ended 31 July 2024.

Principal activities
The principal activity of the company continued to be that of a professional football club.

Results and dividends
The results for the year are set out on page 11.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

A G Pace
S Hunt
M L Smith
A D Parra
D W Checketts

Financial instruments
The business' principal financial instruments comprise bank balances, loan borrowings, trade debtors and trade creditors. The main purpose of these instruments is to finance business operations.

In respect of bank balances and third party borrowings, credit and liquidity risk is managed by ensuring sufficient funds are available to meet payables as they fall due by prudent cash management and continuous monitoring of budgets and forecasts. Cash balances are held in such a way that achieves a competitive rate of interest.

Trade debtors are managed in respect of credit and cash flow risk by policies concerning the credit offered to customers and the regular monitoring of amounts outstanding for both time and credit limits. The amounts presented in the balance sheet are net of allowances for doubtful debtors.

Trade creditors' liquidity risk is managed by ensuring sufficient funds are available to meet amounts due.

Disabled persons
Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the company continues and that the appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Employee involvement
The Company's policy is to consult and discuss with employees, including through any applicable unions, staff councils and at meetings, matters likely to affect employees' interests.

Information about matters of concern to employees is given through information bulletins and reports which seek to achieve a common awareness on the part of all employees of the financial and economic factors affecting the Company's performance.

Post reporting date events
Details of significant events affecting the Company since the year end have been provided in note 24 of the financial statements

Future developments
The Board is committed to the ongoing support of Scott and the team in their pursuit of regaining Premier League status.

Auditor
The auditor, BDO LLP, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Energy and carbon report

The Company has taken the exemption available to subsidiary companies not to disclose information in respect of greenhouse gas emissions, energy consumption and energy efficiency action given this is disclosed in the consolidated financial statements of the ultimate parent company, Burnley FC Holdings Limited.

Statement of disclosure to auditor
So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

A G Pace
Director

31 December 2024

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 31 JULY 2024

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

Opinion

We have audited the financial statements of The Burnley Football & Athletic Company Limited ("the Company") for the year ended 31 July 2024 which comprise Income Statement, Statement of Financial Position, Statement of Changes in Equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 July 2024 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Material uncertainty related to going concern

We draw attention to note 1.2 to the financial statements which indicates that if player trading results, and receipts from the Parent Company, which would be allocated against the intercompany receivable balances, were to be materially less than forecast, and the operating budget modelled otherwise remained unchanged, the resulting conditions if unresolved would mean that the Company may be unable to realise its assets and discharge its liabilities in the normal course of business. As stated in note 1.2, these events and conditions, along with other matters set forth in note 1.2, indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Directors report and financial statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Directors' Responsibilities Statement, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material m sstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Non-compliance with laws and regulations

Based on:

- Our understanding of the Company and the industry in which it operates;
- Discussion with management and those charged with governance;
- Obtaining and understanding of the Company's policies and procedures regarding compliance with laws and regulations;

we considered the significant laws and regulations to be the Financial Reporting Standard FRS 102 and the Companies Act 2006.

The Company is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations. We identified such laws and regulations to industry relates such as compliance with employment law and health and safety regulations.

Our procedures in respect of the above included:

- Review of minutes of meeting of those charged with governance for any instances of non-compliance with laws and regulations;
- Review of financial statement disclosures and agreeing to supporting documentation;
- Review of correspondence with legal counsel; and
- Review of legal expenditure accounts to understand the nature of expenditure incurred.

Fraud

We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included:

- Enquiry with management and those charged with governance regarding any known or suspected instances of fraud;
- Obtaining an understanding of the Company's policies and procedures relating to:
  - Detecting and responding to the risks of fraud; and
  - Internal controls established to mitigate risks related to fraud.
- Review of minutes of meeting of those charged with governance for any known or suspected instances of fraud;
- Discussion amongst the engagement team as to how and where fraud might occur in the financial statements; and
- Performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud.

Based on our risk assessment, we considered the areas most susceptible to fraud to be inappropriate ejournal entries and management bias in accounting estimates.

Our procedures in respect of the above included:

- Testing a sample of journal entries throughout the year, which met a defined risk criteria, by agreeing to supporting documentation;
- Assessing significant estimates made by management for bias which included assessing the valuation of intangible assets relating to player registration rights for impairment indicators, none of which were found.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Stuart Wood (Senior Statutory Auditor)
For and on behalf of BDO LLP

Eden Building
Irwell Street
Manchester
M3 5EN

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

31 December 2024

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

INCOME STATEMENT

FOR THE YEAR ENDED 31 JULY 2024

	Notes	Operations excluding player trading 2024 £000	Player trading 2024 £000	Total 2024 £000	Operations excluding player trading Restated 2023 £000	Player trading Restated 2023 £000	Total Restated 2023 £000
Turnover	3	133,565	-	133,565	64,899	-	64,899
Gross profit		133,565	-	133,565	64,899	-	64,899
Other operating expenses		(29,061)	-	(29,061)	(29,621)	-	(29,621)
Staff costs	5	(93,420)	-	(93,420)	(57,555)	-	(57,555)
Depreciation		(1,817)	-	(1,817)	(1,653)	-	(1,653)
Other operating income		804	5,494	6,298	890	3,894	4,784
Operating profit/(loss)	6	10,071	5,494	15,565	(23,040)	3,894	(19,146)
Amortisation of player registrations		-	(42,615)	(42,615)	-	(22,115)	(22,115)
Profit on disposal of player/staff registrations		-	15,059	15,059	-	11,399	11,399
Operating profit/(loss) including player trading		10,071	(22,062)	(11,991)	(23,040)	(6,822)	(29,862)
Interest receivable and similar income	7			2,064			2,804
Interest payable and similar expenses	8			(19,025)			(8,081)
Loss before taxation				(28,952)			(35,139)
Tax on loss	9			4,053			8,115
Loss for the financial year				(24,899)			(27,024)

The income statement has been prepared on the basis that all operations are continuing operations.

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

STATEMENT OF FINANCIAL POSITION

AS AT 31 JULY 2024

	Notes	2024 £000	2024 £000	2023 £000	2023 £000
Non-current assets					
Intangible assets	**10**		121,239		92,328
Tangible assets	**11**		11,111		9,870
Debtors falling due after more than one year	**13**		13,430		23,517
			145,780		125,715
Current assets					
Stocks	**12**	970		1,350	
Debtors falling due within one year	**13**	147,195		172,125	
Cash at bank and in hand		8,910		20,545	
		157,075		194,020	
Creditors: amounts falling due within one year	**14**	(170,714)		(115,264)	
Net current (liabilities)/assets			(13,639)		78,756
Total assets less current liabilities			132,141		204,471
Creditors: amounts falling due after more than one year	**15**		(73,527)		(116,905)
Provisions for liabilities					
Deferred tax liability	**18**	656		4,709	
			(656)		(4,709)
Net assets			57,958		82,857
Capital and reserves					
Called up share capital	**20**		77		77
Share premium account	**21**		11,219		11,219
Profit and loss reserves	**21**		46,662		71,561
Total equity			57,958		82,857

The financial statements were approved by the board of directors and authorised for issue on 31 December 2024 and are signed on its behalf by:

A G Pace
Director

Company registration number 00054222 (England and Wales)

THE BURNLEY FOOTBALL & ATHLETIC COMPANY LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 JULY 2024

	Share capital	Share premium account	Profit and loss reserves	Total
	£000	£000	£000	£000
Balance at 1 August 2022	77	11,219	98,585	109,881
Year ended 31 July 2023:				
Loss and total comprehensive loss	-	-	(27,024)	(27,024)
Balance at 31 July 2023	77	11,219	71,561	82,857
Year ended 31 July 2024:				
Loss and total comprehensive loss	-	-	(24,899)	(24,899)
Balance at 31 July 2024	77	11,219	46,662	57,958

1 Accounting policies

Company information

The Burnley Football & Athletic Company Limited is a private company limited by shares incorporated in England and Wales. The registered office is Turf Moor, Harry Potts Way, Burnley, Lancashire, United Kingdom, BB10 4BX.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £000.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues: Interest income/expense and net gains/losses for financial instruments not measured at fair value; basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment': Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements;
- Section 33 'Related Party Disclosures': Compensation for key management personnel.

This information is included in the consolidated financial statements of Burnley FC Holdings Limited as at 31 July 2024 and these financial statements may be obtained from Turf Moor, Harry Potts Way, Burnley, Lancashire, United Kingdom, BB10 4BX.

1 Accounting policies **(Continued)**

1.2 Going concern

These financial statements are prepared on a going concern basis. The directors have reasonable expectation that the Company will continue in operational existence for the foreseeable future. The directors are aware certain uncertainties which could cause doubt on the Company's ability to continue as a going concern if they were to arise and remain unremedied.

The Company prepares forecasts which take into consideration various scenarios, which take account of the potential financial impacts on the club depending on its finishing position at the conclusion of the football season.

The forecasts contain key judgements about future player trading and receipts from the Parent Company, both of which are subject to a degree of uncertainty, and other variables. The current football transfer market remains strong, and the Company believes that future potential player trading consistent with forecasts is reasonably achievable. If player trading results and receipts from the Parent Company, which would be allocated against the intercompany receivable balances, were to be materially less than forecasts, and the operating budget modelled otherwise remained unchanged, the resulting conditions if unresolved would indicate a material uncertainty which may cast significant doubt about the Company's ability to continue as a going concern and therefore that it may be unable to realise its assets and discharge its liabilities in the normal course of business. The financial statements do not include the adjustments that would be necessary should the going concern basis of preparation no longer be appropriate.
The Directors confirm that the Company has the continued support of its Parent Company and the wider investor group. The Directors considered the financial stability of the Company for the next 12 months from the date of signing these financial statements. They have assessed financial performance and are satisfied that it will have sufficient resources available to be able to meet its obligations as they become due and therefore remain confident it will continue to be a going concern.

1.3 Turnover

Turnover represents income from television rights, gate receipts, catering, club shop sales and other commercial activities.

Turnover is stated exclusive of VAT, and match receipts are recognised net of payments owed to visiting clubs, the Premier League the FA and the Football League. Gate and other matchday revenue is recognised over the period of the football season as games are played. Sponsorship and similar commercial income is recognised over the duration of the respective contracts.

1.4 Intangible fixed assets other than goodwill

Intangible assets acquired separately from a business are recognised at cost and are subsequently measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired on business combinations are recognised separately from goodwill at the acquisition date where it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the fair value of the asset can be measured reliably; the intangible asset arises from contractual or other legal rights; and the intangible asset is separable from the entity.

Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Website	over 3 years on a straight line basis

1 Accounting policies **(Continued)**

Player registrations and signing on fees

Player registrations costs including transfer fees, levy fees and amounts paid to third parties for player registrations are capitalised as intangible assets and are amortised on a straight line basis over the period of the respective players' contracts. Where a contract life is renegotiated, the unamortised costs, together with the new costs relating to the contract extension, are amortised over the term of the new contract.

Any transfer fees payable as a result of the occurrence of one or more uncertain future events are capitalised when the event occurs.
When a player registration is disposed, profit or loss on disposal of the registration is recognised as the difference between the consideration received and the carrying value of the player registration at the date of disposal.

Intangible assets are assessed on an annual basis and impairment losses arising are charged to the profit and loss account in the period in which they arise.
Player signing-on fees are expensed to the profit and loss account on a straight line basis over the period of the respective players' contracts except in the circumstances of a player disposal. In that case, any remaining signing-on fees due are allocated in full against profit on disposal of players' registrations.

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Leasehold improvements	2 - 10% per annum
Plant and vehicles	10 - 25% per annum
Fixtures and fittings	10 - 15% per annum

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in profit or loss.

1.7 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1 Accounting policies **(Continued)**

1.8 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's statement of financial position when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

1 Accounting policies **(Continued)**

Basic financial liabilities

Basic financial liabilities, including creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Derivatives, including interest rate swaps and forward foreign exchange contracts, are not basic financial instruments. Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value. Changes in the fair value of derivatives are recognised in profit or loss in finance costs or finance income as appropriate, unless hedge accounting is applied and the hedge is a cash flow hedge.

Debt instruments that do not meet the conditions in FRS 102 paragraph 11.9 are subsequently measured at fair value through profit or loss. Debt instruments may be designated as being measured at fair value through profit or loss to eliminate or reduce an accounting mismatch or if the instruments are measured and their performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Derecognition of financial liabilities

Financial liabilities are derecognised when the company's contractual obligations expire or are discharged or cancelled.

1.9 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1.10 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

1 Accounting policies **(Continued)**

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the income statement, except when it relates to items charged or credited directly to equity in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.11 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.12 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.13 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the statement of financial position as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

1.14 Other operating income

Income generated from temporary player loan registrations, including club payroll obligations recharged.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty
The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Provision for impairment is made when it becomes clear that any diminution in the value is permanent. In certain circumstances there may be an individual player whom the Company does not consider to be part of the first team squad going forward and whom management have decided is unlikely to play for the first team for a significant part of the remaining duration of the player's contract. In such situations the carrying value of the player will be assessed for impairment and considered against the best estimate of his fair value less costs to sell

The Company has an outstanding debtor balance of £32,561,000 (2023 - £59,076,000) due from the undertaking of Velocity Capital (UK) Holdings Ltd, which arose mostly in relation to the acquisition of Burnley FC Holdings Limited during a prior year. This balance is unsecured and is by default, treated as being repayable on demand, although the directors do not anticipate recovery in the form of cash within twelve months of the reporting date.
The balance can potentially be settled by various means, and the Company's current reserves, which are sufficient to enable a significant reduction in the balance by way of distributions if required. In such case the financial performance of the Company may impact the extent to which, and the timing in which, the balance is recoverable in this manner, as this could affect the likelihood of future dividends taking place. With this in mind the balance will be periodically reviewed for indicators of impairment going forward, with adjustments made in respect of any impairment indicators should they arise.

3 Turnover

	2024	2023
	£000	£000
Turnover analysed by class of business		
Match income	8,869	8,726
Television rights	110,564	47,812
Catering sales	836	2,342
Other commercial activities	10,681	3,195
Retail sales	2,615	2,824
	133,565	64,899

4 Auditor's remuneration

Fees payable to the company's auditor and associates:	2024 £000	2023 £000
For audit services		
Audit of the financial statements of the company	65	60

5 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2024 Number	2023 Number
Players, managerial and training staff	209	196
Sales, administration and ancillary staff	179	369
Total	388	565

Their aggregate remuneration comprised:

	2024 £000	Restated 2023 £000
Wages and salaries	82,448	50,701
Social security costs	10,813	6,737
Pension costs	159	117
	93,420	57,555

6 Operating loss

Operating loss for the year is stated after charging/(crediting):	2024 £000	2023 £000
Exchange gains	(886)	(976)
Depreciation of owned tangible fixed assets	1,817	1,653
Amortisation of intangible assets	42,615	22,115
Profit on disposal of intangible assets	(15,059)	(11,399)
Operating lease charges	1,790	1,736

7 Interest receivable and similar income

	2024	2023
	£000	£000
Interest income		
Bank interest receivable	520	361
Finance income on player trading debtor	1,544	2,443
Total income	2,064	2,804

8 Interest payable and similar expenses

	2024	2023
	£000	£000
Bank loan interest payable	11,142	2,522
Other loan interest payable	2,059	3,503
Finance expense on player trading creditors	5,778	1,875
Interest on finance leases and hire purchase contracts	46	181
	19,025	8,081

9 Taxation

	2024	2023
	£000	£000
Deferred tax		
Origination and reversal of timing differences	(4,053)	(8,115)

The actual credit for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2024	2023
	£000	£000
Loss before taxation	(28,952)	(35,139)
Expected tax credit based on the standard rate of corporation tax in the UK of 25.00% (2023: 21.01%)	(7,238)	(7,383)
Tax effect of expenses that are not deductible in determining taxable profit	21	18
Tax effect of income not taxable in determining taxable profit	(1)	-
Change in unrecognised deferred tax assets	2,896	345
Effect of change in corporation tax rate	-	(1,355)
Group relief	212	163
Permanent capital allowances in excess of depreciation	(205)	70
Other permanent differences	61	-
Deferred tax adjustments in respect of prior years	201	27
Taxation credit for the year	(4,053)	(8,115)

10 Intangible fixed assets

	Player registrations	Website	Total
	£000	£000	£000
Cost			
At 1 August 2023	133,542	267	133,809
Additions	73,225	321	73,546
Disposals	(26,818)	-	(26,818)
At 31 July 2024	179,949	588	180,537
Amortisation and impairment			
At 1 August 2023	41,481	-	41,481
Amortisation charged for the year	42,468	147	42,615
Disposals	(24,798)	-	(24,798)
At 31 July 2024	59,151	147	59,298
Carrying amount			
At 31 July 2024	120,798	441	121,239
At 31 July 2023	92,061	267	92,328

11 Tangible fixed assets

	Leasehold improvements	Plant and vehicles	Fixtures and fittings	Total
	£000	£000	£000	£000
Cost				
At 1 August 2023	17,103	3,806	2,972	23,881
Additions	2,072	812	174	3,058
At 31 July 2024	19,175	4,618	3,146	26,939
Depreciation and impairment				
At 1 August 2023	8,605	2,925	2,481	14,011
Depreciation charged in the year	1,449	254	114	1,817
At 31 July 2024	10,054	3,179	2,595	15,828
Carrying amount				
At 31 July 2024	9,121	1,439	551	11,111
At 31 July 2023	8,498	881	491	9,870

12 Stocks

	2024	2023
	£000	£000
Finished goods and goods for resale	970	1,350

13 Debtors

Amounts falling due within one year:	2024 £000	2023 £000
Trade debtors	18,890	19,141
Amounts owed by group undertakings	121,008	148,688
Prepayments and accrued income	7,297	4,296
	147,195	172,125

Included within trade debtors due within one year is £17,728,000 (2023 - £17,884,000) relating to amounts due from other football clubs.

Amounts owed by group undertakings are interest free and repayable on demand.

Amounts falling due after more than one year:	2024 £000	2023 £000
Trade debtors	9,503	21,252
Prepayments and accrued income	3,927	2,265
	13,430	23,517
Total debtors	160,625	195,642

Included within trade debtors due after more than one year is £9,503,000 (2023 - £21,252,000) relating to amounts due from other football clubs.

14 Creditors: amounts falling due within one year

	Notes	2024 £000	2023 £000
Bank loans	**16**	69,670	4,375
Obligations under finance leases	**17**	-	925
Proceeds of factored debts	**16**	12,782	13,876
Trade creditors		47,901	37,245
Amounts owed to group undertakings		750	-
Taxation and social security		6,601	4,281
Other creditors		1,751	2,087
Accruals and deferred income		31,259	52,475
		170,714	115,264

14 Creditors: amounts falling due within one year **(Continued)**

Included within trade creditors is £44,475,000 (2023 - £33,835,000) which relate to a football clubs.

Amounts owed to group undertakings are interest free and repayable on demand.

Hire purchase and finance leases are secured over the assets to which they relate.

The proceeds of factored debts are secured over the trade debtors to which they relate.

15 Creditors: amounts falling due after more than one year

	Notes	2024 £000	2023 £000
Bank loans and overdrafts	16	22,520	65,625
Proceeds of factored debts	16	7,421	16,995
Trade creditors		39,364	31,915
Accruals and deferred income		4,222	2,370
		73,527	116,905

Included within trade creditors is £39,364,000 (2023 - £31,915,000) which relate to amounts due to other football clubs.

Hire purchase and finance leases are secured over the assets to which they relate.

The proceeds of factored debts are secured over the trade debtors to which they relate.

16 Loans and overdrafts

	2024 £000	2023 £000
Bank loans	92,190	70,000
Other loans	20,203	30,871
	112,393	100,871
Payable within one year	82,452	18,251
Payable after one year	29,941	82,620

Bank loans bear interest between 8.5% fixed and SONIA + 7.5% and are secured by way of fixed and floating charges over the assets of the Company and its fellow group undertakings, Longside Properties Limited. The principal element of the loan is due for final repayment in January 2028, with interest and principal payments being required in instalments.

An unsecured £30,000,000 facility bearing interest at 12.75%, disclosed within bank loans under one year, was converted to a secured facility on 1st September 2024. £391,000 is due for repayment within one year of the year end, with the remainder of the balance due after more than one year. The interest rate charged on the facility is unchanged.

17 Finance lease obligations

	2024	2023
Future minimum lease payments due under finance leases:	£000	£000
Within one year	-	925

18 Deferred taxation

The following are the major deferred tax liabilities and assets recognised by the company and movements thereon:

	2024	2023
Balances:	£000	£000
Accelerated capital allowances	1,883	432
Tax losses	(5,297)	(3,856)
Intangible fixed asset timing differences	4,100	8,139
Short term timing differences	(30)	(6)
	656	4,709

	2024
Movements in the year:	£000
Liability at 1 August 2023	4,709
Credit to profit or loss	(4,053)
Liability at 31 July 2024	656

19 Retirement benefit schemes

	2024	2023
Defined contribution schemes	£000	£000
Charge to profit or loss in respect of defined contribution schemes	159	117

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

20 Share capital

	2024	2023	2024	2023
Ordinary share capital	Number	Number	£000	£000
Issued and fully paid				
Ordinary shares of £1 each	77,419	77,419	77	77

21 Reserves

The Company's capital and reserves are as follows:

Share capital

Called up share capital reserve represents the nominal value of the shares issued.

Share premium account

The share premium account includes the premium on the issue of equity shares, net of any issue costs.

Profit and loss account

Profit and loss account represents cumulative profits or losses net of dividends paid and other adjustments.

22 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2024 £000	2023 £000
Within one year	4	9
Between two and five years	-	4
	4	13

The movement in the operating lease commitment differs to the charge in the profit and loss account due to short term leases, which are expensed as they are incurred.

23 Prior year adjustment

There has been a restatement identified in relation to the 31 July 2023 year end:

The 31 July 2023 year end figures have been restated. This is to correct an error regarding the accounting for income relating to the temporary transfers of player registration rights. In the prior year, loan fees and contributions towards player wages were incorrectly netted off against staff costs instead of being recognised gross as other operating income. As a result, staff costs have increased by £3,894k and other operating income has increased by £3,894k.

24 Events after the reporting date

Subsequent to the close of our reporting period, the club acquired a number of players at an initial cost of £1,000,000 and sold a number of players for initial proceeds of £87,700,000.

25 Related party transactions

The Company has taken advantage of the exemption available in Section 33.1A of FRS 102 whereby it has not disclosed transactions with the ultimate parent company or any wholly owned subsidiary undertaking of the Group.

The Company has an outstanding debtor balance of £32,561,000 (2023 - £59,076,000) due from Velocity Capital (UK) Holdings Ltd, an intermediate parent undertaking of the Company.

The Company has an outstanding creditor balance of £750,000 (2023 - £nil) due to ALK Capital LLC, the Company's ultimate parent undertaking.

During the period, the Company paid a management fee of £1,500,000 (2023 - £2,500,000) to an affiliated entity for various management services provided under contract.

26 Ultimate controlling party

The Company's immediate parent undertaking and smallest Group in which the results of the Company are consolidated is that headed by Burnley FC Holdings Limited. The address of Burnley FC Holdings Limited's registered office is Turf Moor, Harry Potts Way, Burnley, Lancashire, United Kingdom, BB10 4BX.

The ultimate parent undertaking is ALK Capital LLC, a company organised in the United States. ALK Capital LLC does not prepare consolidated financial statements.

A G Pace is considered to be the ultimate controlling party.

27 Contingent liabilities

Under the terms of certain contracts for the purchase of players' registrations, future payments may be due to third parties, dependent on the success of the team and/or individual players. At the reporting date, the maximum contingent liability which has not been provided for was £40,285,000 (2023 - £21,991,000).

Under the terms of certain contracts for the sale of players' registrations, future receipts may be receivable from third parties, dependent on the success of the team and/or individual players. At the reporting date, the maximum contingent asset was £11,090,000 (2023 - £5,608,000), none of which has been recognised as an asset.

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.